Unit 3. Environment Analysis

CONTENTS

3.1. The business environment

3.2. Analysis of the general environment

3.3. Analysis of the competitive environment

3.4. Importance of environment analysis for firm competitiveness

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Unit 3. Environment Analysis

LEARNING OBJECTIVES

1. To understand how the business environment conditions firm strategy and competitiveness
2. To analyse the different environmental factors –beyond economic ones- affecting business activities
3. To determine the industry attractiveness degree, discovering both opportunities and threats

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3.1. The Business Environment

THE ENVIRONMENT OF THE FIRM

- Firms operate within an economic, social, cultural, political or legal system that conditions their behaviour.
- Management should discover and evaluate⇨ ***opportunities and threats.***
- **Environment of the firm**: all those characteristics external to the firm which it cannot control, but which influence or may influence its activity, behaviour and results, both present and future.

- **Two levels** of environment:
  - Macro-environment: comprises socio-economic factors.
  - Industry environment: factors relevant to the industry to the firm compete

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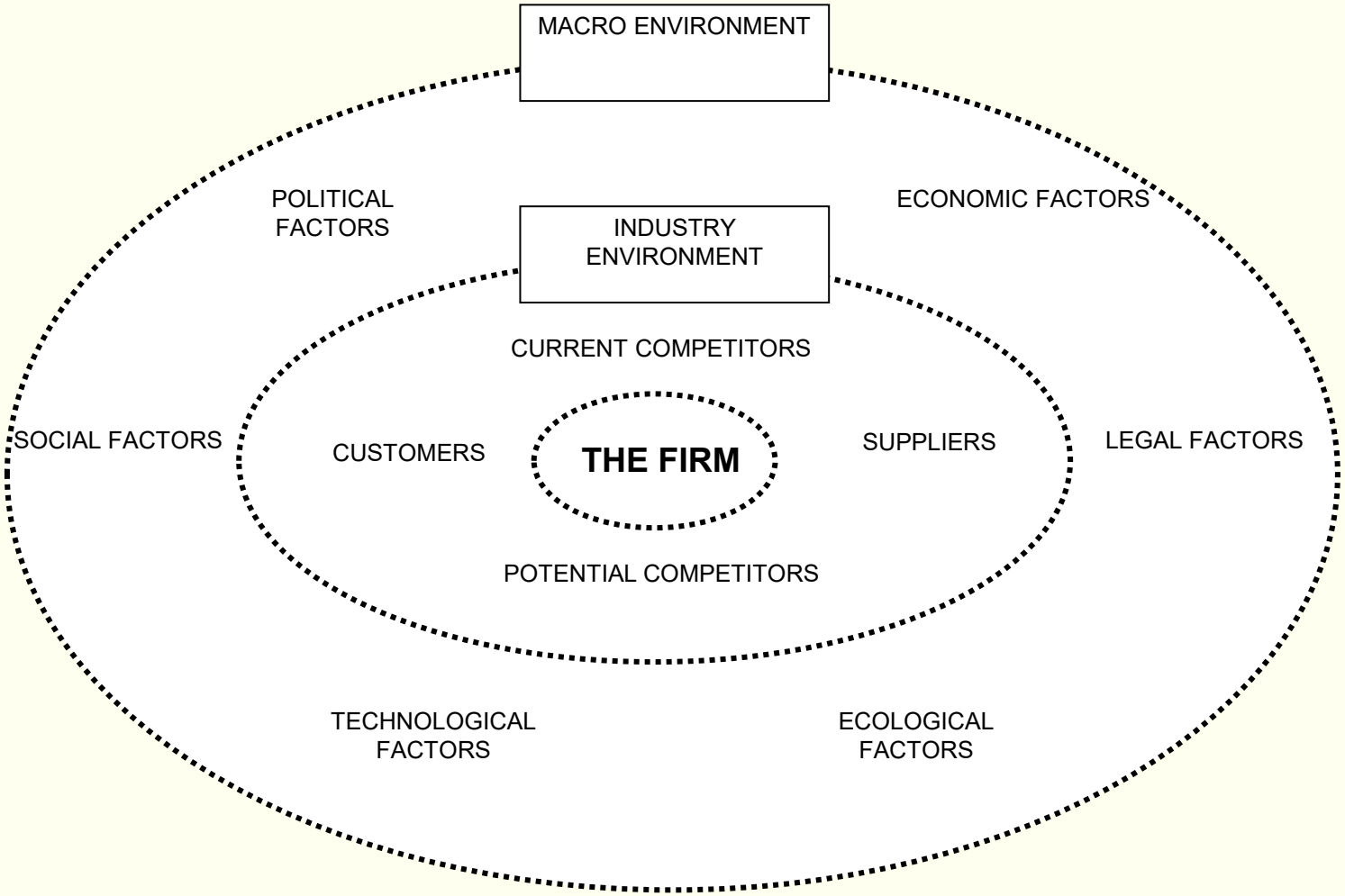
3.1. The Business Environment

MACRO AND INDUSTRIAL ENVIRONMENTS



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3.2. The Analysis of the General Environment

THE MACRO-ENVIRONMENT

The set of variables and factors which, from different spheres –economic, political, legal, etc.– affect or may come to affect all economic and social players, and firms, in a specific society, country or geographical area.

PESTEL ANALYSIS

Political dimension Political system Institutional stability of the Estate Government intervention, etc	**Technological dimension** Infraestructure and technological development Public and private R&D investments, etc
Economic dimension GDP growth Unemployment rate Interest rates Private consumption, etc.	**Environmental dimension** Modified food Pollution Sustainable energy consumption Waste recycling, etc
Socio-cultural dimension Demographic variables Birth rate Life expectancy, etc.	**Legal dimension** Legal framework governing law, commerce, finance and fair trading

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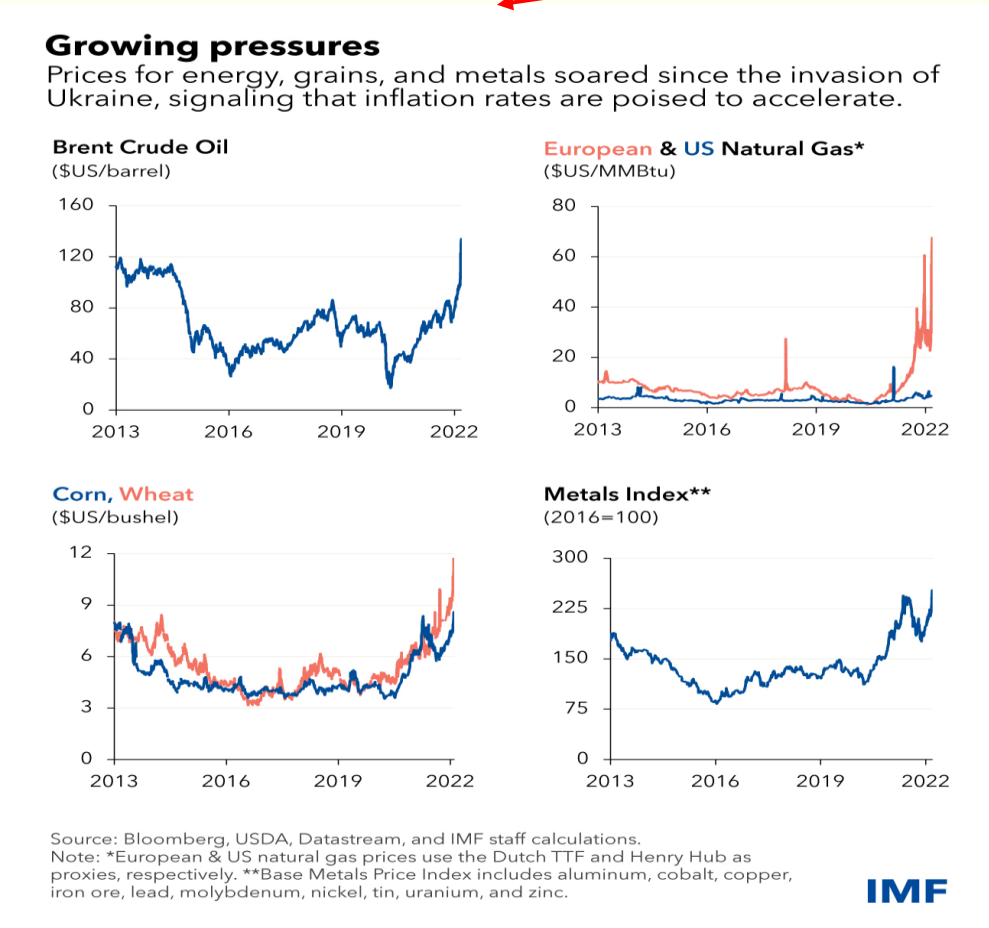
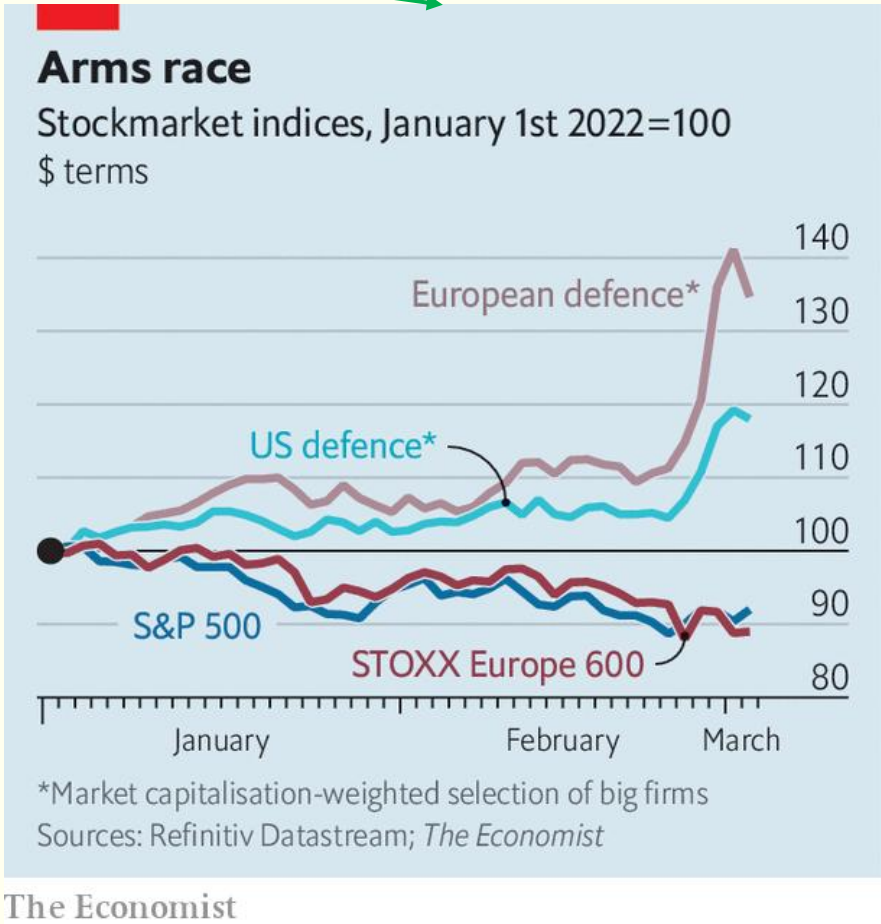
Exhibit 3.1

THE IMPACT OF UKRAINE INVASION





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3.2. The Analysis of the General Environment

THE MACRO-ENVIRONMENT

- **PESTEL analysis**: each firm must select those variables, within each set of dimensions, relevant to its business activity, in order to identify opportunities and threats.
- To highlight that a variable can be:
  - A threat to a certain sector of activity, whilst representing an opportunity for another and proving irrelevant to a third.
  - It may even constitute a threat for practically all those firms competing in the same industry, but an opportunity for one or just a small number of them.

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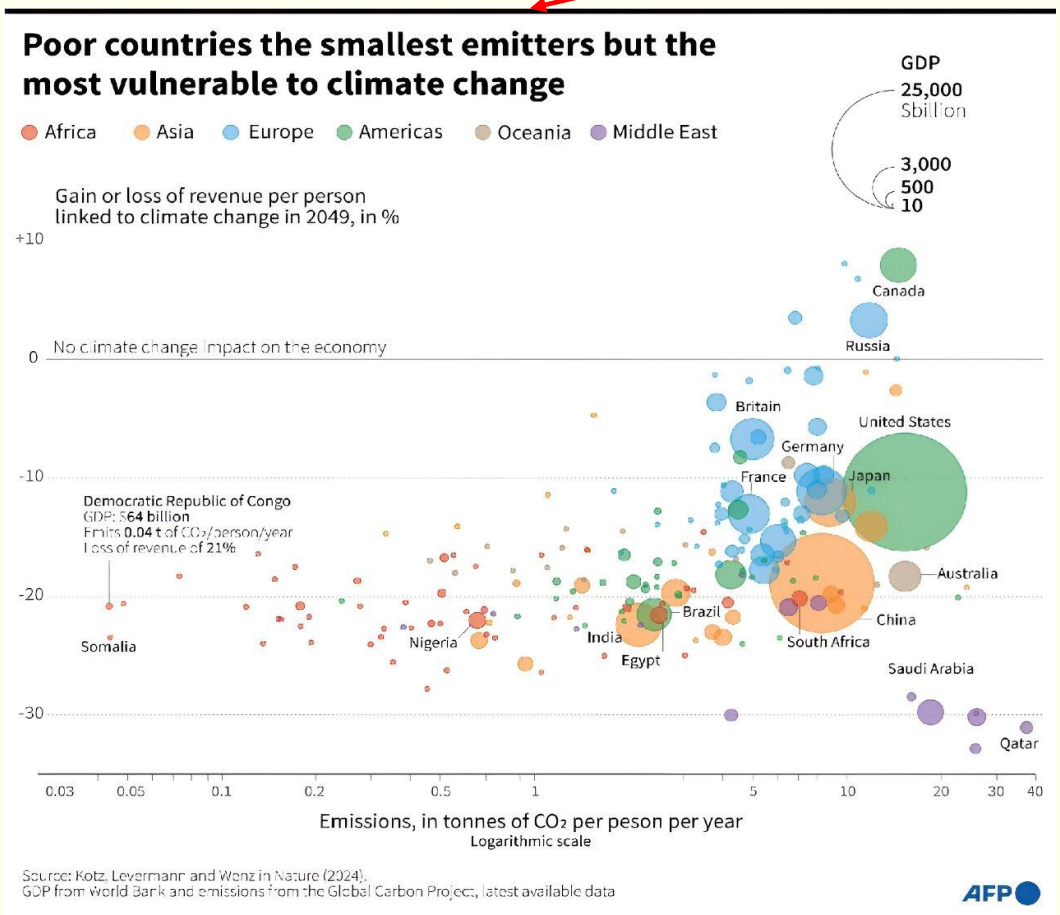
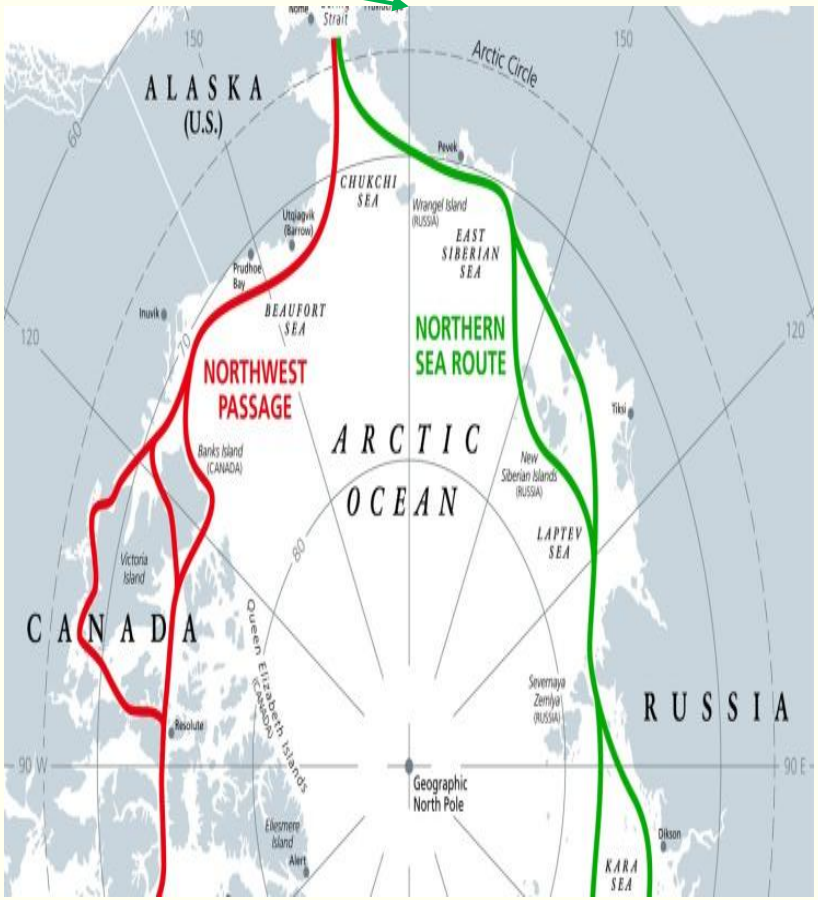
Exihibit 3.2

THE IMPACT OF CLIMATE CHANGE



Source: Kotz et al (2024) Nature



Source: Brown University (2024) Study

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3.3.The Industry Environment

THE INDUSTRY ENVIRONMENT

- Industry analysis stems from the work of those focussing on the **Industrial Organization** ⇨ the structure of the industry in which a firm operates conditions its strategic behaviour and profitability.
- Aim: to determine the "**attractiviness of an industry**" ⇨ a firm's likelihood of generating return or profit in a specific industry.
- Technique: **Five Forces Analysis**:
  - Degree of current competitive rivalry.
  - Threat of entry.
  - Threat of substitute products.
  - Bargaining power of buyers.
  - Bargaining power of suppliers.

- But… **What's an industry?** The market for products + The market for factors of production!

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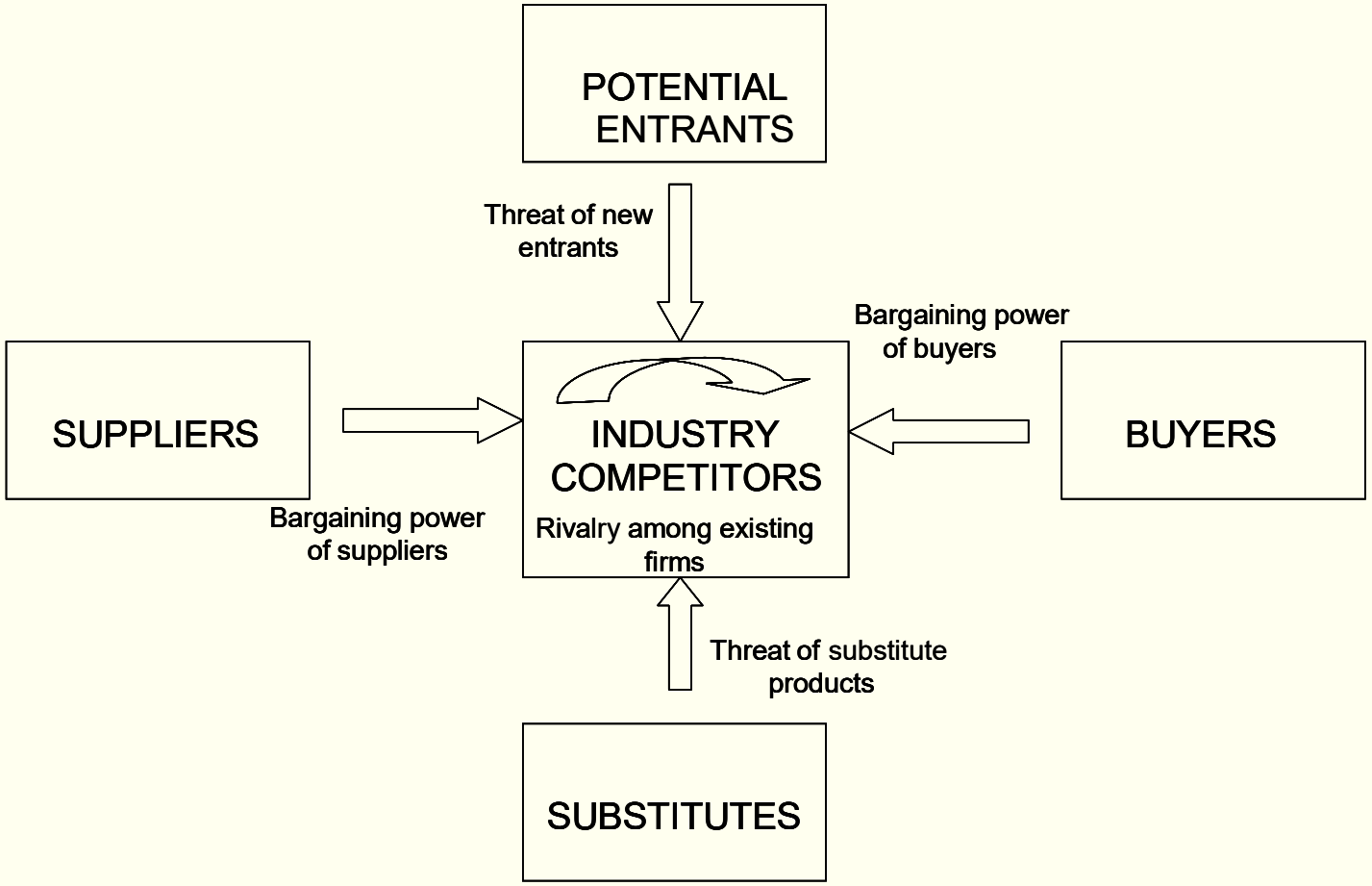
3.3. The Industry Environment

PORTER'S FIVE FORCES MODEL



Source: *Porter (1980).*

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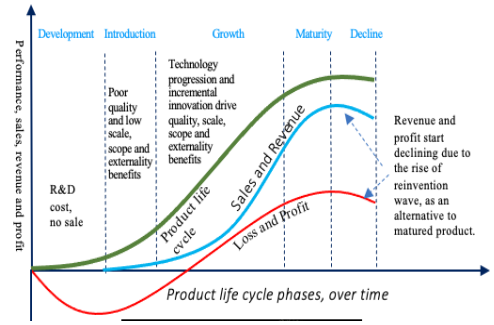
3.3. The Industry Environment

DEGREE OF CURRENT COMPETITIVE RIVALRY

- This force refers to the set of rival firms that compete with the firm to sell their products.
- The greater the degree of rivalry between the current competitors in a given industry, the more unattractive the industry is.



- **Factors** with an impact on the degree of rivalry:
  - Number of competitors and concentration ratio: CR4.
  - Growth in demand, excess capacity and exit barriers
  - Degree of differentiation.
  - Cost condition: Large minimum effective size.

Types of Exit Barriers

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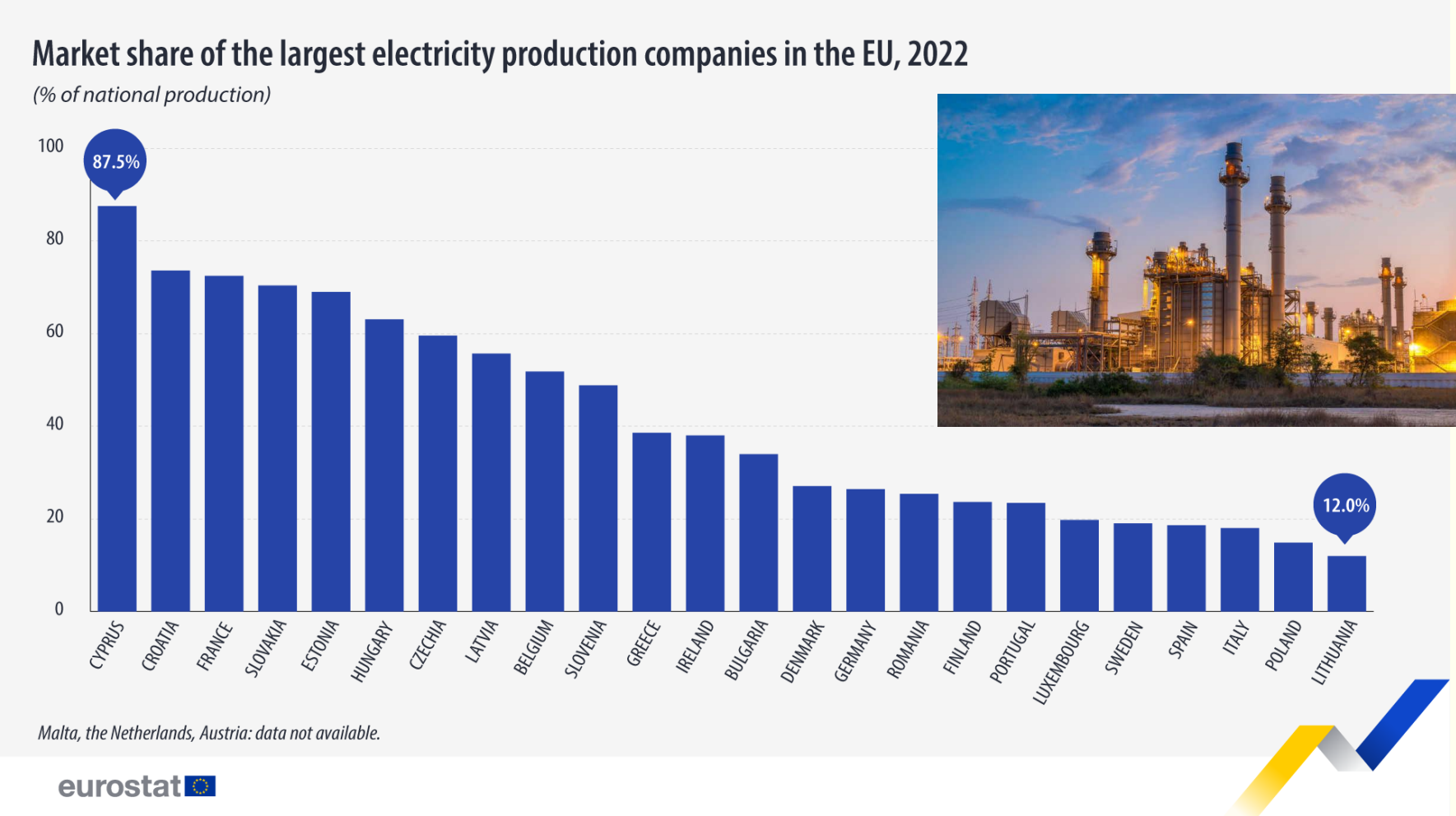
Exibit 3.3

CURRENT RIVALRY: CONCENTRATION



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Exibit 3.4

CURRENT RIVALRY: CONCENTRATION

Source: Alaska Air Group

Classification / Clasificación	CR(4)	CR(8)
Very high / Muy alta	CR(4) ≥ 75 %	CR(8) ≥ 90 %
High / Alta	75 % > CR(4) ≥ 65 %	90 % > CR(8) ≥ 85 %
Moderately high / Moderadamente alta	65 % > CR(4) ≥ 50 %	85 % > CR(8) ≥ 70 %
Moderately low / Moderadamente baja	50 % > CR(4) ≥ 35 %	70 % > CR(8) ≥ 45 %
Low / Baja	CR(4) < 35 %	CR(4) < 45 %

Source: Bain (1959)

Fuente: Bain (1959)

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3.3. The Industry Environment

THREAT OF ENTRY

- The threat of new entrants should also be analysed because if new competitors appear, rivalry increases and the degree of attractiveness of an industry drops.

- **Factors**:
  - Barriers to entry: Artificial vs. Natural
    - Governmental and Legal Barriers
    - Capital Requirements
    - Economies of Scale
    - Absolute Cost Advantages OR Product Differentiation
    - Access to Channels of Distribution
  - Reaction of incumbent competitors: Retaliation

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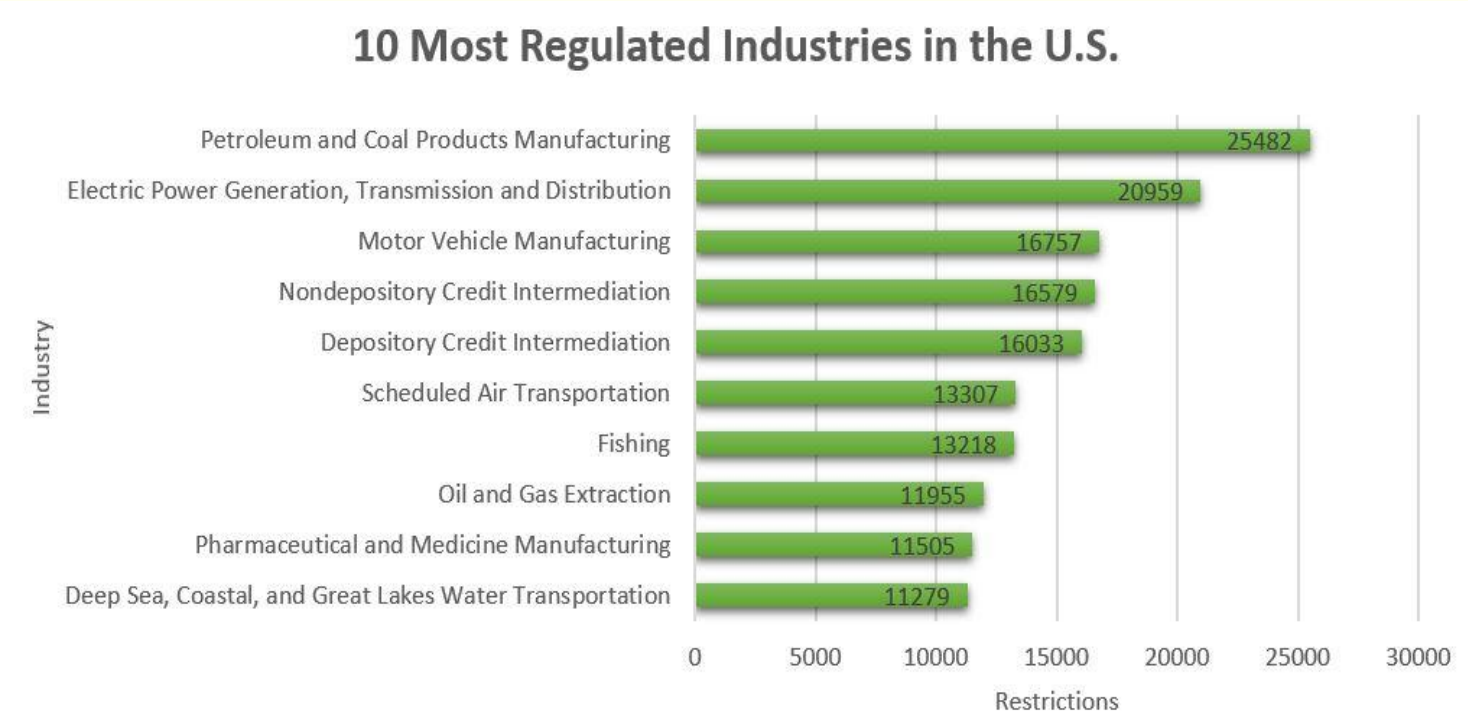
Exibit 3.5

ADMINISTRATIVE BARRIERS OF ENTRY

The New York Times

Europe Imposes Higher Tariffs on Electric Vehicles Made in China

The tariffs, some as high as 45 %, are intended to protect Europe's automotive sector, but they could escalate a trade war with China.



Source: RegData's Industry Regulation Index

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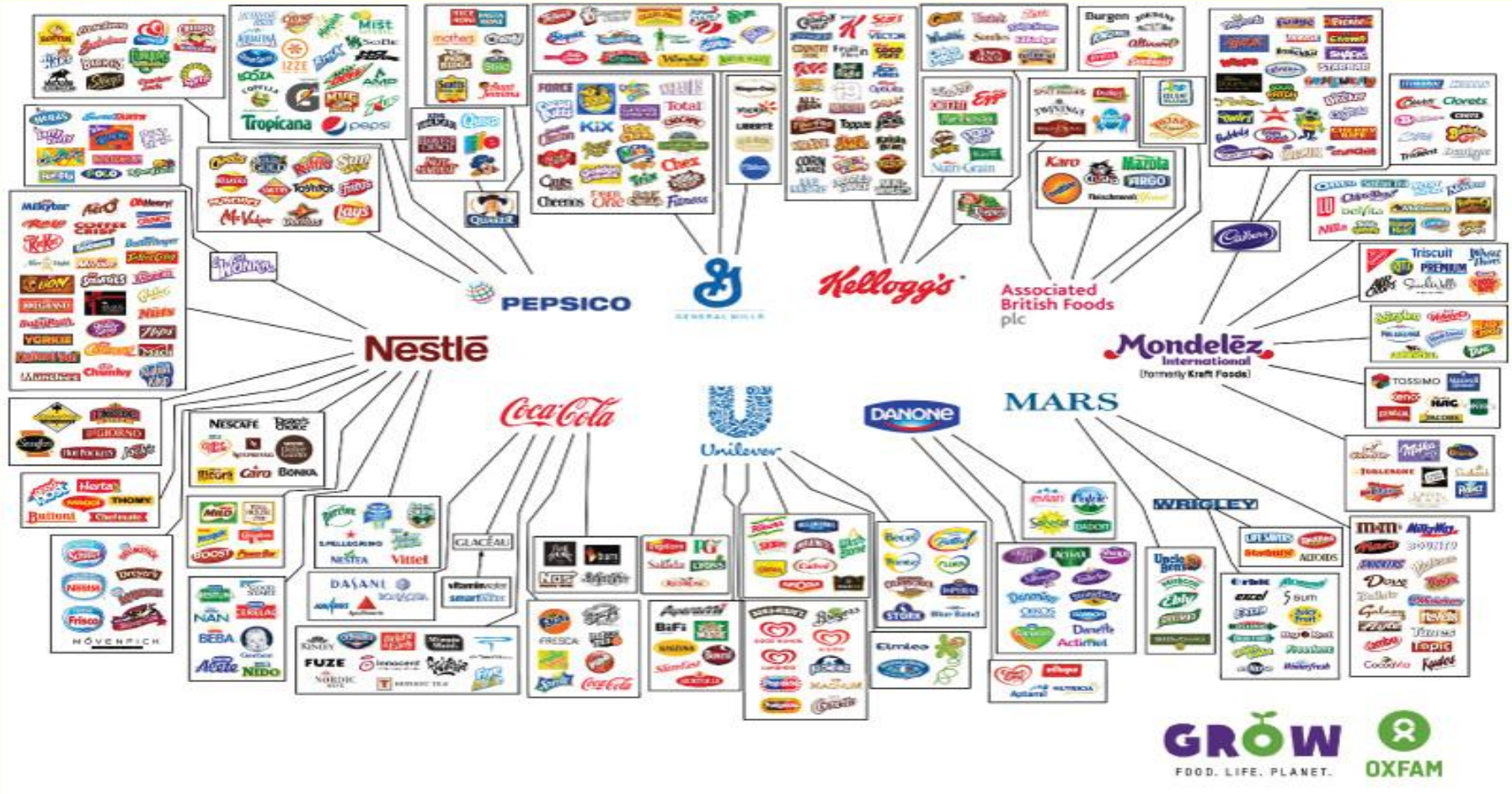
Exibit 3.6

NATURAL BARRIERS OF ENTRY

Ten companies dominate the food and beverage industry worldwide



… due to economies of scale…

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3.3. The Industry Environment

THE THREAT OF SUBSTITUTE PRODUCTS

- Substitute products are products that meet the same needs as a firm's products, but using different technology.
- The degree to which a product is substitutable depends on its customers, the extent to which it is appreciated and the price of each product .
- The greater the threat that substitute products may appear, the less attractive the sector.

… New competitors from other (technological) industries…

SOURCES:

1. Disruptive Technology
2. Disruptive Consumer Behaviour

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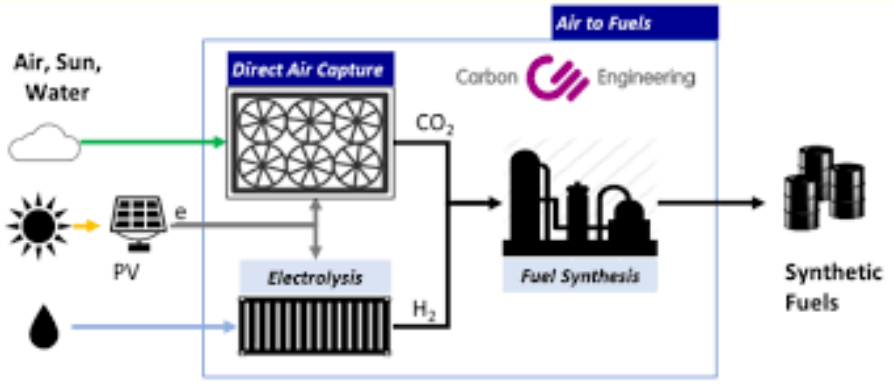
Illustration 3.1

Substitutive Products: Sources



Explore up to 5 NEW SUBSTITUTIVE PRODUCTS and the reasons behind them (technology push & market/customer push)

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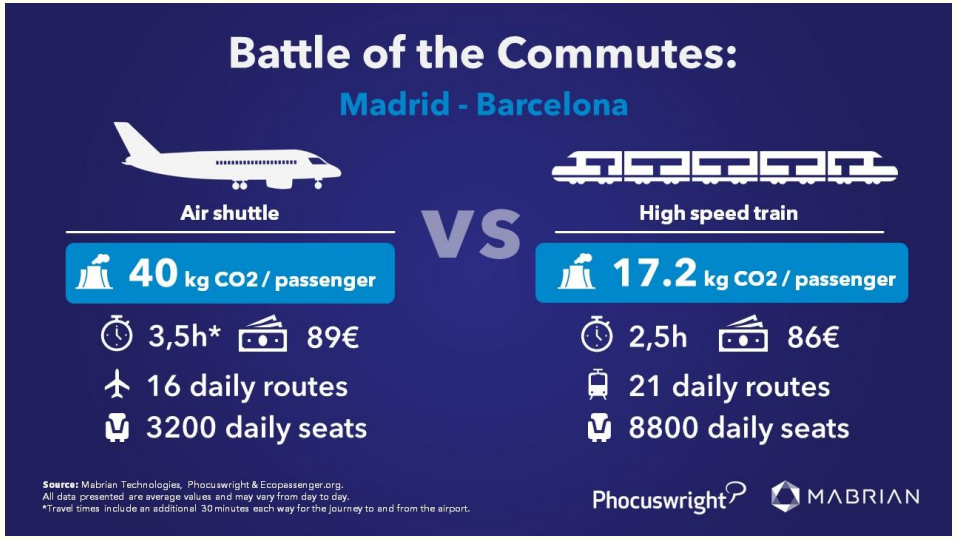
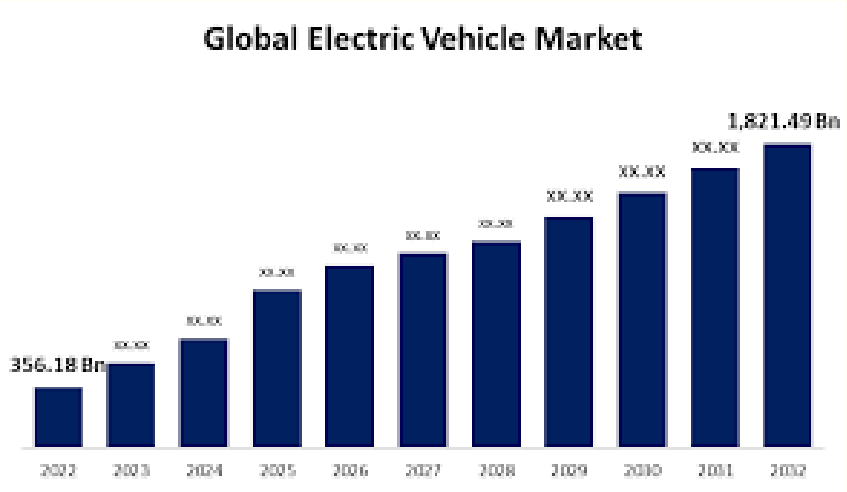
Exibit 3.7

SUBSTITUTIVE PRODUCTS





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3.3. The Industry Environment

BARGAINING POWER OF BUYERS

- The extent to which the customers possess a relative degree of power, imposing trading conditions to their own advantage
- The greater their bargaining power, the less attractive the industry.
- **Factors**: degree of buyer concentration and their number in relation to the industry, degree of differentiation of the products being traded, information, threat of upstream integration, etc.

BARGAINING POWER OF SUPPLIERS

- The extent to which they can negotiate prices and other aspects relevant to the sales process, imposing trading conditions to their own advantage.
- The greater the bargaining power of suppliers, the less attractive the industry.
- **Factors**: degree of supplier concentration and their number in relation to the industry, degree of differentiation of the products being traded, information, threat of downstream integration, etc.

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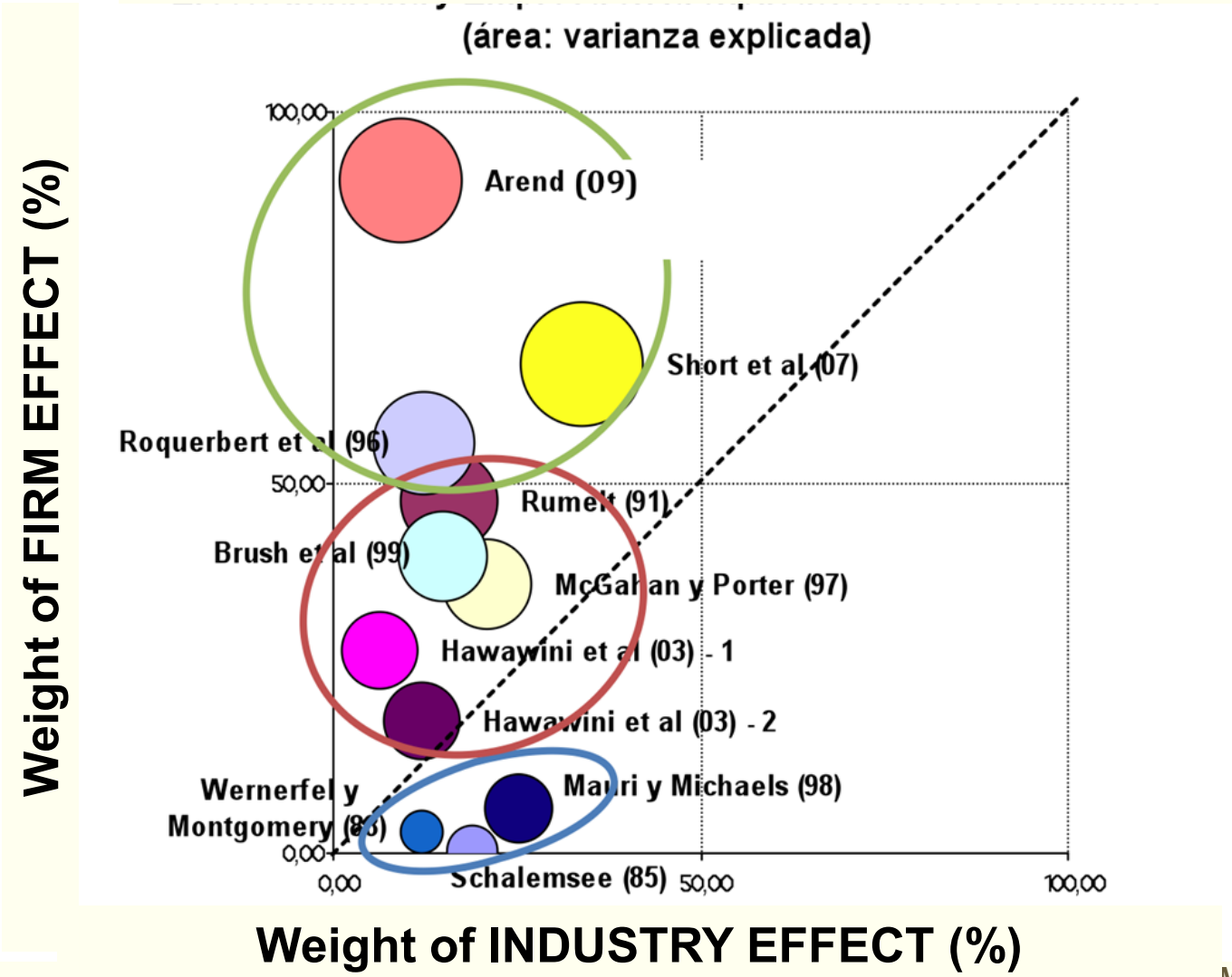
3.4. Importance of the Environment

INDUSTRY versus FIRM EFFECT

(explained variance, scientific research, Javaloyes, 2010)



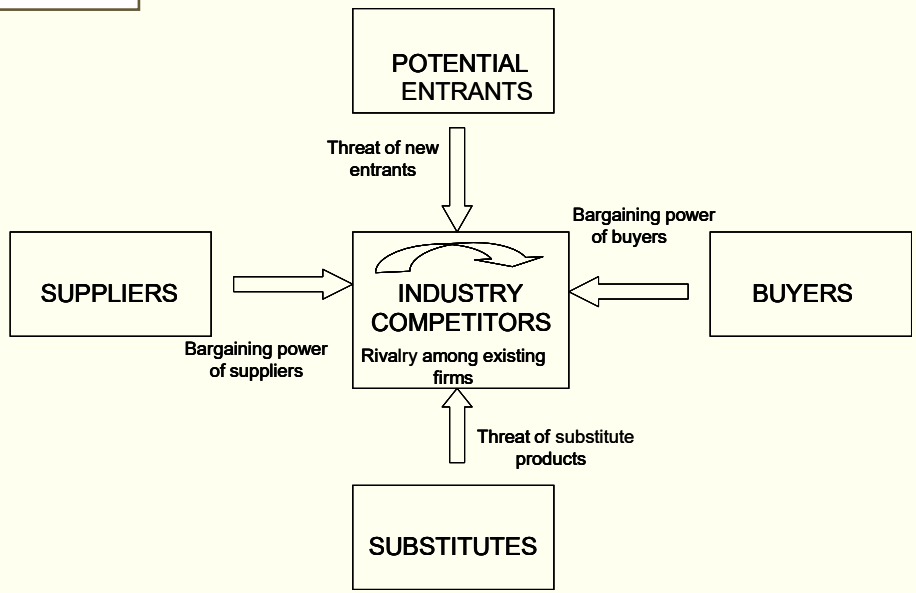
3.4. Importance of the Environment

CRITICS – EXTENSIONS OF "FIVE FORCES MODEL"

Are ALL forces EQUALLY RELEVANT?

Industry Segmentation?

Industry Segmentation & Strategic Groups



Just FIVE ones?

- **Role of Complementary Products?**
- **And Public Administrations?**

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3.4. Importance of the Environment

OTHER ENVIRONMENTAL ISSUES: CLUSTERS

CLUSTERS –INDUSTRIAL DISTRICTS- GEOGRAFICAL AGLOMMERATION

Geographical agglomeration can produces extra opportunities for firms located inside:

1. Talent attraction
2. Entrepreneurship and start ups
3. Technological Innovation
4. Access other resources

1. Companies devoted to a certain activity
2. Suppliers and related industries
3. University/research centre

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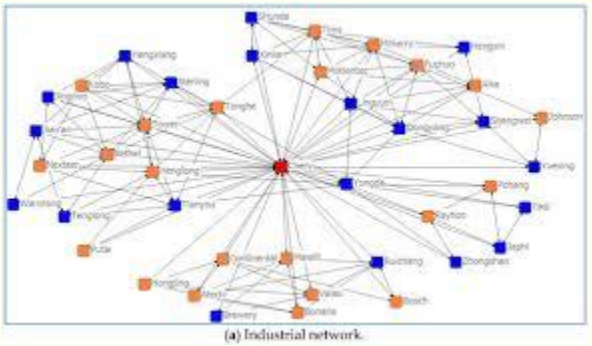
Illustration 3.2

Clusters – Industrial Districts


(a) Industrial network

Identify a well-developed Cluster and describe its main features and agents, and the associated advantages

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